

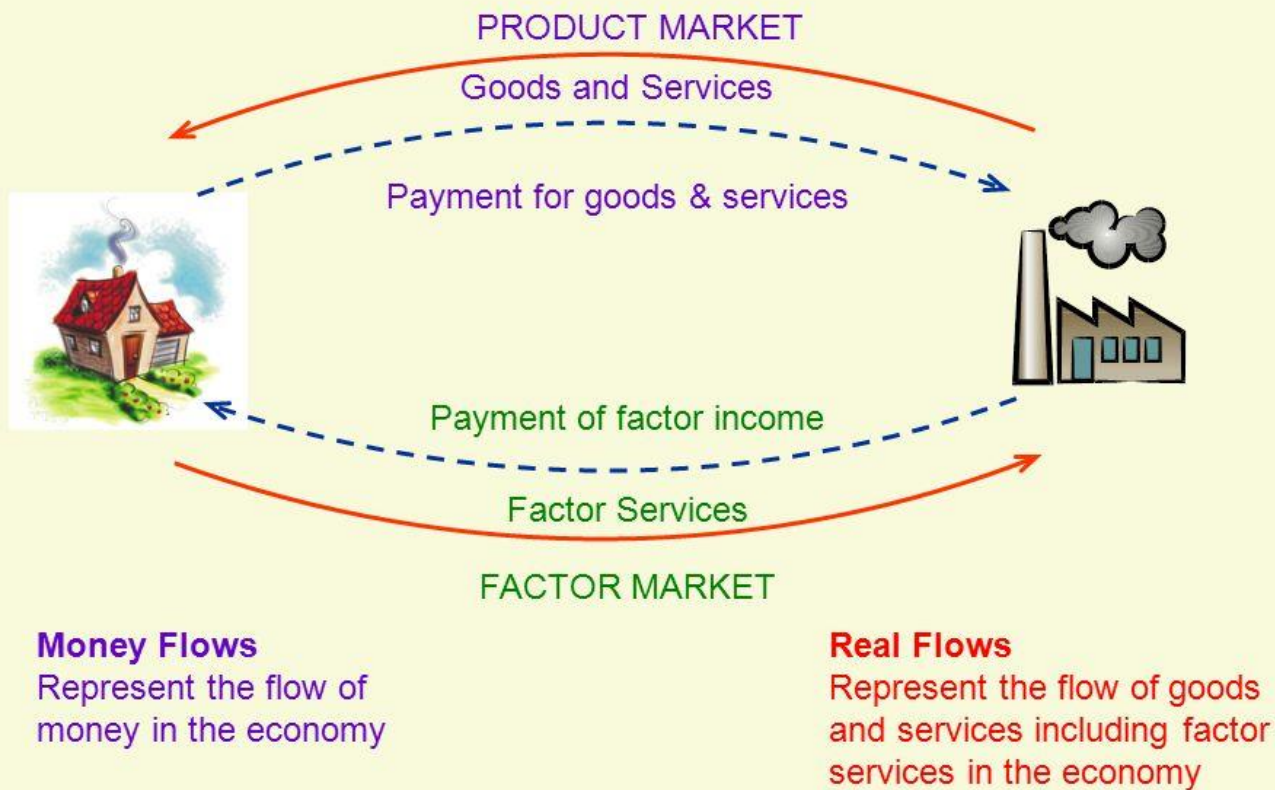
THE CIRCULAR FLOW OF INCOME

The Circular Flow of Income

*The circular flow of income in a country illustrates **the flow of income and expenditure** between the different sectors (firms, households, government and foreign sector) of the macroeconomy.*

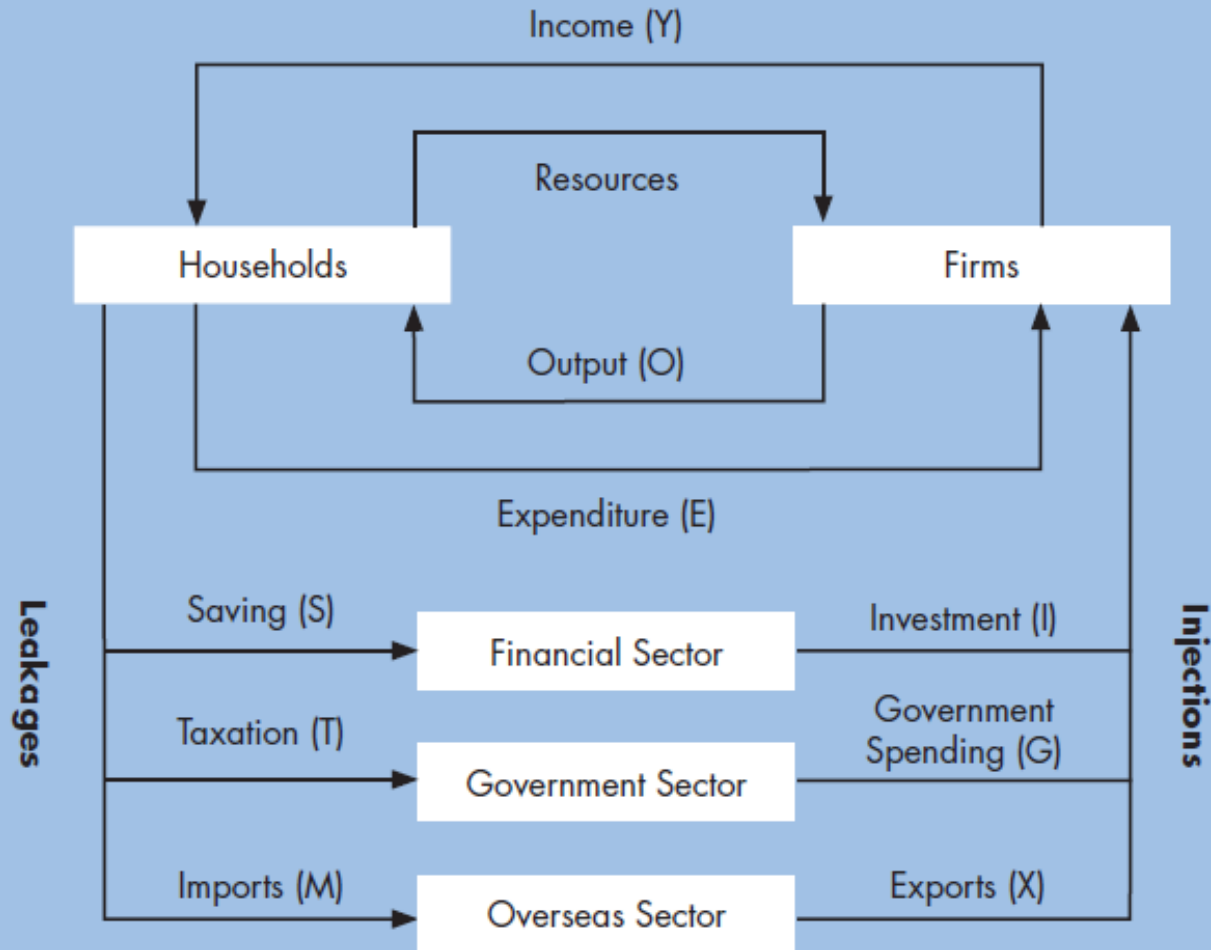
Circular flow of Income

The Circular Flow of Income – 2 Sector Model



Circular flow of Income

Figure 2.7: The Five Sector Circular Flow of Income Model



Components of the Circular Flow

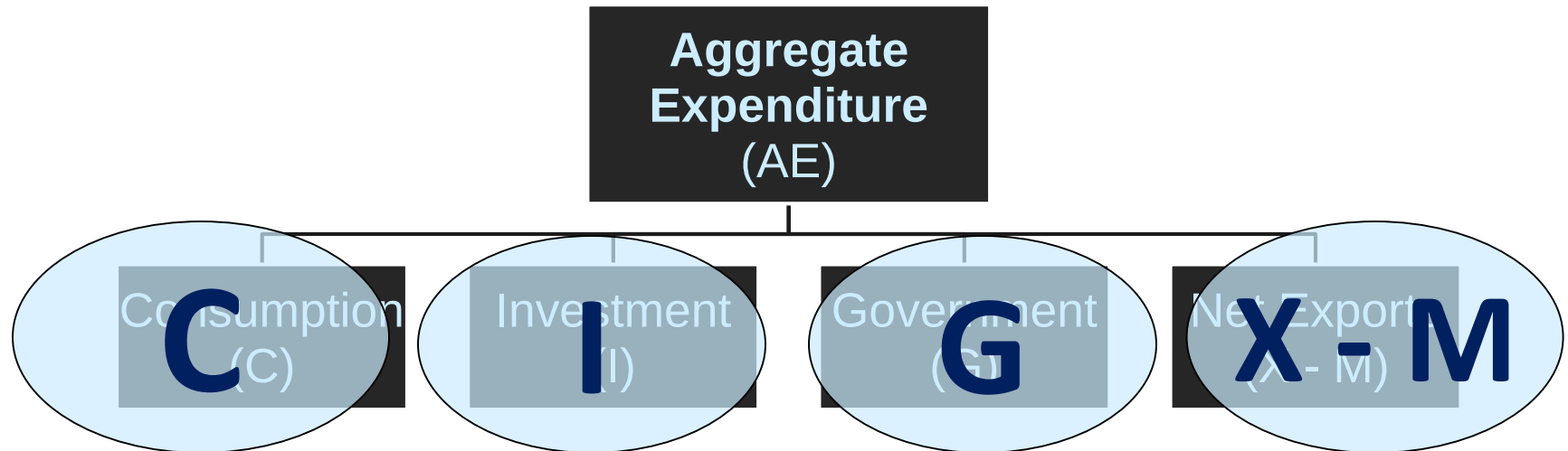
What are the components of the Circular Flow of Income and Expenditure?

Aggregate Expenditure (AE)

- Aggregate Expenditure (**AE**) is the total planned expenditure on final goods and services at a given price level by economic agents.
- There are **4 main** economic agents, **households, firms, government** and the **foreign sector**.

Hence, **$AE = C + I + G + (X - M)$**

Components of Aggregate Expenditure



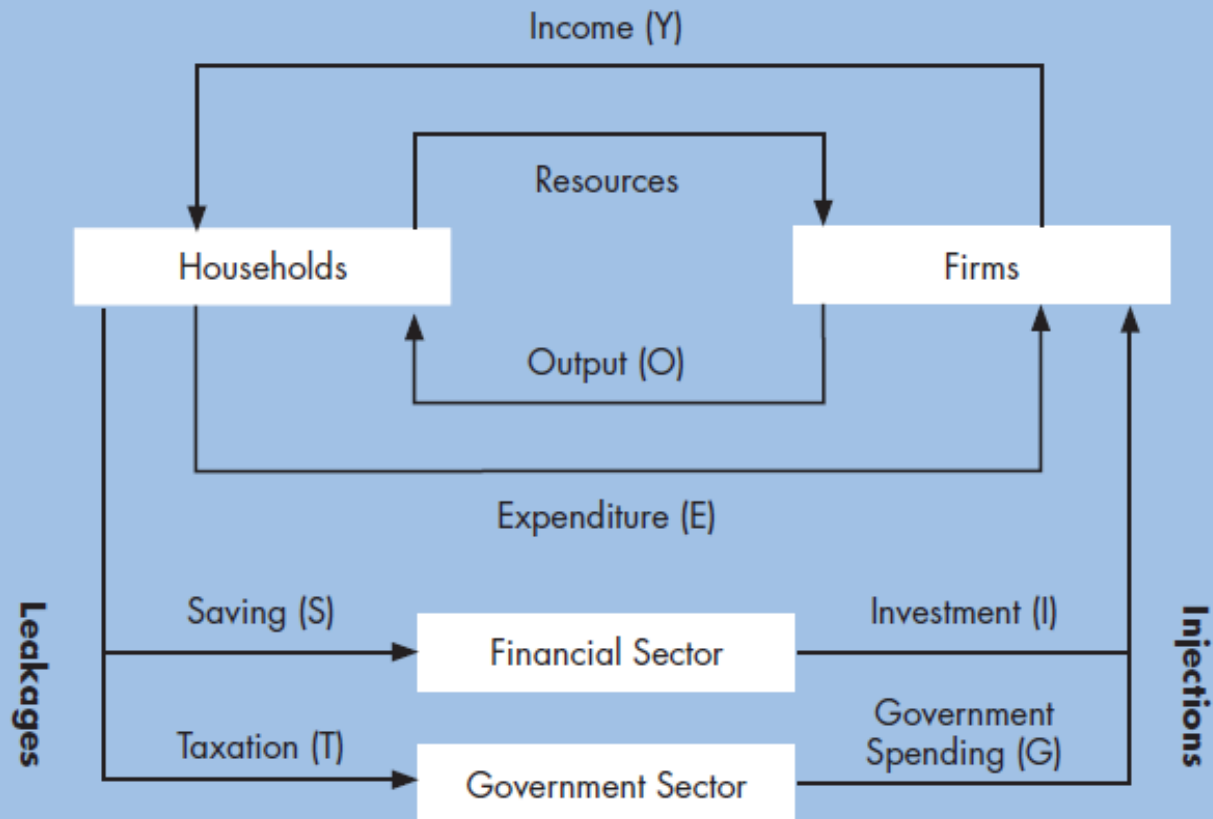
Components of the Circular Flow

- Planned Consumption (C)
- Planned Saving (S)
- Planned Investments (I)
- Planned Govt Expenditure (G) and Taxation (T)
- Planned Exports (X) and Imports (M)

Look Familiar?

Circular flow of Income

Figure 2.6: The Four Sector Circular Flow of Income Model



Injectons vs Withdrawals

- **Injectons** and **withdrawals** (leakages) provide us with an understanding of how the circular flow of Income is affected.
- Whether there is an **increase** in the flow or a **decrease**.

Injections vs Withdrawals

Injections

Inflows of money into the circular flow of income

(increases the Circular flow of income)

Injections = Investment (I) + Government Expenditure (G) + Exports (X)

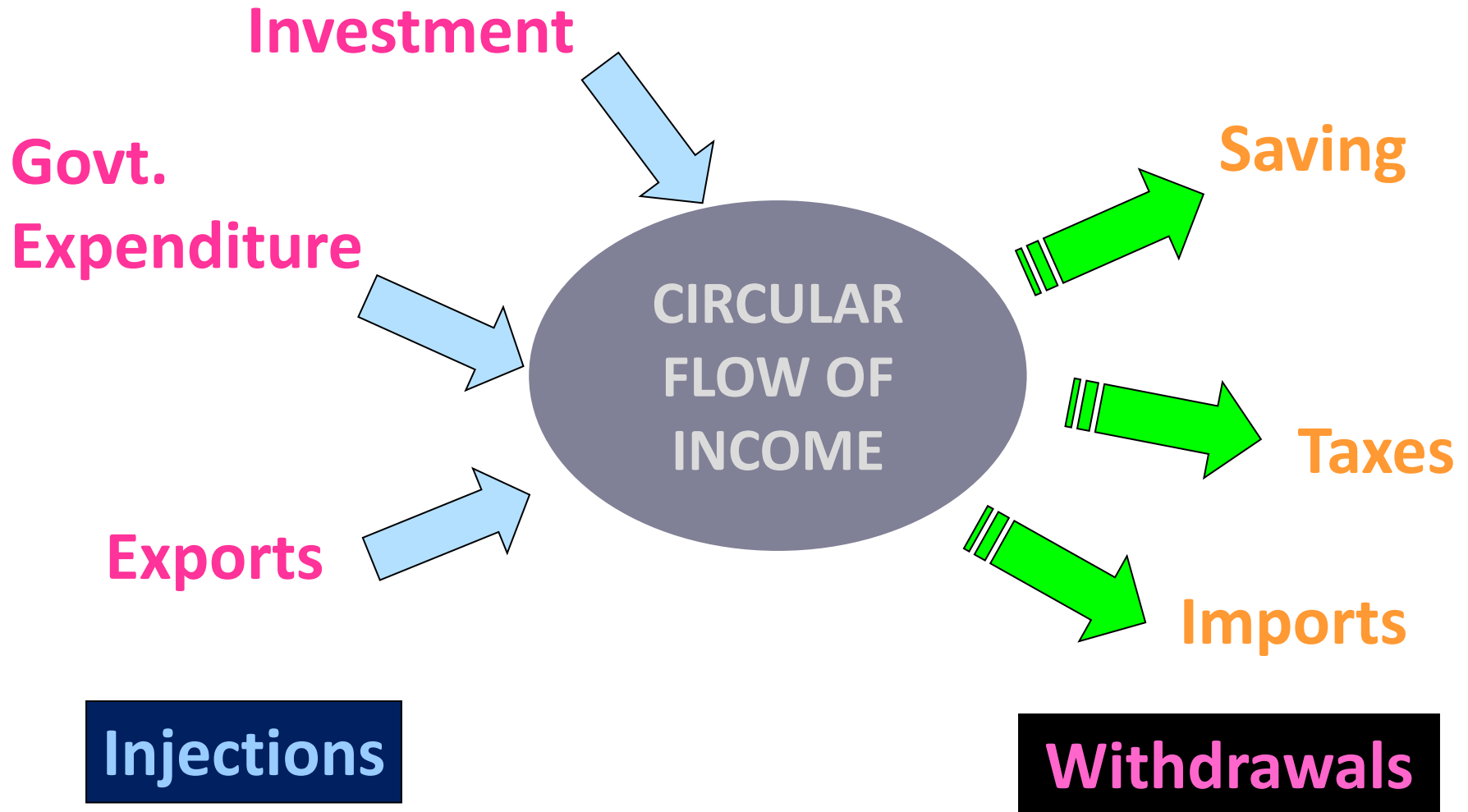
Withdrawals

Outflows of money from the circular flow of income

(decreases the Circular flow of income)

Withdrawals = Savings (S) + Taxes (T) + Imports (M)

Injectors vs Withdrawals



What factors will cause AE to rise?

- Any factor (other than changes in the GPL) that cause either C, I, G or net X to increase will cause the AD to shift to the right.
- If GPL is expected to increase, **C** will increase
- If business expectations are good then **I** will increase.
- If the govt decides to build a new highway, **G** rises
- If foreign countries experience positive economic growth, **X** rises

Consumption Expenditure “C”

‘C’ is the purchase of domestically produced goods and services

That part of national income (NY) that is spent on consumer goods



Factors affecting "C"

- a) Accessibility of credit
- b) Level of interest rates
- c) Government Policy
- d) Price Expectations
- e) Savings

Investment Expenditure “ I ”

Investments are expenditures on capital goods such as equipment, plants and raw materials



Factors affecting “ I ”

- a) Interest rates 
- b) Business Expectations
- c) Government Policy
- d) Technological Change
- e) Infrastructure

Interest Rates

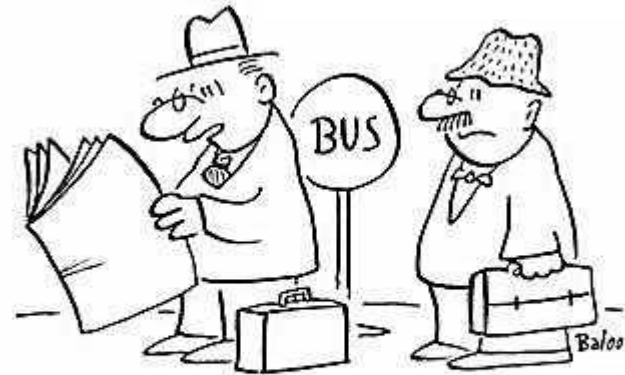
- **Interest rates influence the cost of borrowing**
 - ➔ **An increase in investment in capital goods if i/r is low and vice versa.**

Factors affecting “ I ”

- **Business expectations**
 - optimistic about future?
- **Govt. Policy**
 - Tax cut – Inv. exp. Rises
- **Technological Change**
 - Technological change results in lower cost hence raises Investment
- **Infrastructure**
 - Good infrastructure attracts Invest. Exp.

Government Expenditure “G”

is the amount
of spending by
the
government.



"Whenever the Government
proposes a new source of revenue,
it always turns out to be *me!*"

Government Expenditure

- Government expenditure is the amount of planned spending by the government at each income level.
- Spending only includes expenditure on goods and service and **NOT** transfer payments
- **G is assumed to be independent of changes in national income**

Export Revenue “X”

—

Import Expenditure “M”



***‘X’ is the sale of
goods overseas***

**‘M’ is the purchase of
foreign goods by locals**

Net Exports (X-M)

- **Export revenue (X)** involves the sale of goods and services to foreign countries.
- **X** influenced by changes in the foreign country National Income as well as exchange rates
- **Import Expenditure (M)** are purchases of goods and services from foreign countries.
- **M** influenced by changes in the domestic country National Income as well as exchange rates